

MERIDIAN TRUST & ASSET SERVICING, N.A.

Central AI & Model Inventory · Personal Fiduciary Administration

CAIMI-INT-02 / UC-2147

AI Use-Case Intake & Registration

Discretionary Distribution & Fiduciary Review Intelligence Assist (DDFR-IA)
v1.4

Document number	CAIMI-INT-02 / UC-2147
Version	1.4
Classification	Internal — Restricted
Document owner	Head of Personal Fiduciary Administration & Wealth Advisory
Effective	Current cycle
Review cycle	Event-driven
Approved by	Model Risk Management — CONCURRENCE REFUSED

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Document Control

Form	CAIMI-INT-02 (supersedes MRM-INT-01 for systems in scope of STD-AI-002)
CAIMI System ID	AI-REG-2026-0148
Use-Case ID	UC-2147
Submitted by	First Line of Defense
Reviewed by	Second Line of Defense — Model Risk Management
Status	Piloting in production. Registered retrospectively. 2LOD concurrence refused.

Registration precedes validation. Validation precedes production. No system may connect to a production data source until this record is complete and 2LOD concurrence is recorded at Section G.

Section A — Identification

Field	Entry
CAIMI System ID	AI-REG-2026-0148
Use-Case ID	UC-2147
Application Name	Discretionary Distribution & Fiduciary Review Intelligence Assist (DDFR-IA) v1.4
Sponsoring Division	Personal_Fiduciary
Business Process Owner (1LOD)	Head of Personal Fiduciary Administration & Wealth Advisory
Technical Lead (1LOD)	Director, Wealth Platform Engineering (contractor-supported)
Second Line Reviewer (2LOD)	Model Risk Officer, AI Systems
Submission date	Current cycle
Development status	Piloting in production — limited rollout live across three trust administration teams since prior quarter

Registration timing exception. This system entered limited production before CAIMI registration. Registered retrospectively at the direction of the AI Systems Governance Sub-Committee. Logged as a self-identified control deficiency; see `evidence-known-limitations.md`.

Section B — Functional Design

Field	Entry
Intended Purpose	Supports trust officers evaluating discretionary distribution requests and preparing annual investment reviews under 12 CFR § 9.6(c). Retrieves the governing trust indenture and amendments, queries the account's principal and income positions, evaluates the request against the instrument's distribution standard, and drafts a Trustee Adjudication Memorandum with a proposed decision and supporting rationale.
Restrictions on Use	Intended that the Fiduciary Review Committee reviews each memorandum before adoption.
Technology Typology	<code>RAG_Pipeline</code> with agentic retrieval over scanned legal instruments
Base Model Supplier	Anthropic, via Amazon Bedrock
Foundation Model	FM-0007 — registered shared component; see <code>foundation-model-registration-aibom.md</code>
Integration Endpoints	Legal document vault (scanned indentures, OCR), core trust accounting ledger (read), distribution workflow portal (write — memorandum creation), payment instruction queue (write — queues external wire on committee approval)
Decision made by the system	Drafts the proposed decision and its legal rationale , including whether the requested purpose falls within the instrument's distribution standard, and whether the distribution should be charged to income or to principal.

Operational workflow

Stage	Input	Mechanism	Resulting state
1 Request ingestion	Beneficiary written request + supporting invoices	OCR; extracts requested amount and stated purpose	Request registered in trust ledger
2 Indenture retrieval	Trust account number	RAG over scanned indenture, amendments, codicils, and state statutory provisions	Provisions chunked, embedded, mapped to query
3 Accounting analysis	Core ledger connection	Retrieves principal cash, accumulated income, unrealised gains, rolling three-year distribution history	Principal vs. income standing compiled
4 Synthesis	Request + retrieved covenants + accounting position	Evaluates against the instrument's HEMS standard, considers the beneficiary's other resources, and allocates between income and principal	Draft Trustee Adjudication Memorandum with proposed decision
5 Committee review	Draft memorandum on FRC portal	Fiduciary officers review rationale and cited clauses	Approve / modify / deny
6 Execution	Committee approval	Creates accounting entry and queues external wire	Irreversible cash disbursement to beneficiary

Observed practice. Under current volumes each trust officer receives 40–60 draft memoranda per cycle. Committee minutes record that drafts are adopted with limited or no modification in the substantial majority of cases. The review step is documented but its effective friction has not been measured.

Section C — Data Classification

Field	Entry
Data Sensitivity Tier	Confidential_PII
Data Sources	Beneficiary legal names and Social Security numbers; family relationship records; personal financial statements; medical and educational records submitted in support of health and education distributions; tax return filings; complete scanned wills and trust indentures
PII Consumption Flag	True
MNPI Handling Flag	False
GLBA Covered Data	True
Residency Boundary	US_East_Dedicated_Enclave
Pseudonymisation before ingestion	Not implemented. Source documents are submitted to the model as scanned originals.

Section D — Fiduciary Scope

Field	Entry
Legal Capacity	Discretionary_Fiduciary_Part_9 — the Bank acts as sole corporate trustee exercising discretionary authority over trust property under 12 U.S.C. § 92a and 12 CFR Part 9
Discretion exercised	Yes — over the amount, timing, purpose, and income/principal allocation of distributions
Impartiality Impact Flag	True — the income/principal allocation at stage 4 directly determines allocation of benefit between the current income beneficiary and the remainderman
12 CFR 9.6(c) Review Role	Direct_Review_Generation
ERISA Advice Flag	False (personal trust accounts; ERISA plan accounts are out of scope for this release)
Regulatory exposure	12 CFR Part 9 discretionary fiduciary; UPIA § 6 duty of impartiality and Restatement (Third) of Trusts § 79; 12 CFR § 9.6(c) annual review; 12 CFR § 9.8 fiduciary recordkeeping; state trust code of the governing situs

Section E — Human Oversight and Reversibility

Field	Entry
Automation Level	Owner-declared <code>Strict_Human_In_The_Loop</code> ; 2LOD re-declared <code>Human_On_The_Loop</code> — see Section G
Execution Reversibility	Irreversible_Execution — once trust principal is disbursed by external wire, recovery requires judicial clawback of uncertain outcome. Distribution tax elections and GST exemption allocations are legally irreversible once filed.
Rollback Procedure Ref	None on file
Failure consequence	A memorandum asserting a discretionary authority the instrument does not grant, adopted without independent verification against the governing document, is a breach of trust exposing the Bank to surcharge liability , removal as trustee, and — for systemic failures — action under 12 CFR § 9.17.

Section F — Supply Chain

Field	Entry
Hosting Environment	<code>Dedicated_Cloud_Tenant</code>
Zero Data Retention SLA	Provider no-training terms are in place at the enterprise level. Not confirmed for the medical-record and minor-beneficiary data classes processed by this system.
AIBOM Identifier	Inherits shared <code>CDX-MTAS-FM0007</code> ; no system-level AIBOM produced
Third-party assessment	Shared foundation-model assessment on file; use-case-specific data-class review not performed

Section G — Tiering and Sign-Off

Owner self-assessment, submitted with this form:

Dimension	Weight	Owner score	Weighted	Owner basis
Fiduciary & legal exposure	0.25	3	0.75	"Committee makes the decision, so the system is directed"
Data sensitivity & privacy	0.20	5	1.00	Beneficiary PII acknowledged
Autonomy & human oversight	0.20	1	0.20	"Every memorandum is reviewed by committee"
Operational reversibility	0.15	3	0.45	"Accounting entries can be adjusted"
Model complexity	0.10	5	0.50	Generative with retrieval
Financial & volumetric exposure	0.10	3	0.30	"Individual distributions are modest"
Owner-computed score			3.20	→ proposed Tier 2 (Moderate)

2LOD recomputation, recorded at review:

Dimension	Weight	2LOD score	Weighted	2LOD basis
Fiduciary & legal exposure	0.25	5	1.25	The Bank is sole corporate trustee with discretion. Committee review does not convert a discretionary capacity into a directed one — see <code>fiduciary-terms-glossary.md</code> , <i>Discretionary vs. directed</i> .
Data sensitivity & privacy	0.20	5	1.00	Concurred
Autonomy & human oversight	0.20	3	0.60	Review exists but adoption-without-modification rates indicate human-on-the-loop in practice. Declared friction is not evidenced.
Operational reversibility	0.15	5	0.75	The external wire and the tax election are irreversible. Ledger adjustability is not reversibility.
Model complexity	0.10	5	0.50	Concurred
Financial & volumetric exposure	0.10	5	0.50	Assessed on aggregate principal exposed across the pilot population, not per-distribution size.
2LOD-computed score			4.60	→ Tier 1 (High)

Field	Entry
Determined Risk Tier	Tier_1_High
Mandatory override applicable?	Yes — discretionary fiduciary capacity, impartiality impact, beneficiary PII, and irreversible execution each independently force Tier 1 under STD-AI-002 § 5
1LOD Owner Signature	Head of Personal Fiduciary Administration — signed, current cycle
2LOD MRM Concurrence	Not granted. Tier 2 self-assessment rejected. Tier 1 determination recorded; full independent validation required before continued production use.

Section H — Attached Evidence

- `evidence-known-limitations.md` — self-identified open items

Not attached at submission. The following are required for a Tier 1 system under STD-AI-002 and are not on file: data protection impact assessment; **empirical impartiality / differential-outcome evaluation**; adversarial and red-team penetration report; RAG groundedness evaluation against a golden dataset; ongoing monitoring plan with defined thresholds; independent validation report; system-level AIBOM; use-case-specific third-party data-class confirmation.

Section I — Owner Attestation

The owner attests that the description above is accurate and that a Fiduciary Review Committee step is in place. The owner notes that formal testing and documentation are "planned but not yet complete," and that the pilot was initiated to meet a service-level commitment to the Personal Trust division. Signed: Head of Personal Fiduciary Administration & Wealth Advisory.

SYNTHETIC DEMONSTRATION DOCUMENT. Meridian Trust & Asset Servicing, N.A. is a fictional institution. This registration and all evidence referenced by it were authored for a SAS product demonstration.